

Summit Retail Partners — Annual Relationship Review Memo

Borrower: Summit Retail Partners · Specialty Retail (TN) · RM: Marcus Webb **Relationship tier:** Core · **Relationship since:** 2020 · **Primary contact:** Nina Castillo, CFO **Facility:** \$5.8MM term loan, fixed 6.10%, matures 2028-11-30 · Purpose: lease buyout & store refresh · Collateral: leasehold improvements + inventory · Personal guarantee: Yes **Review prepared:** 2026-06-13 · **Data current through:** 2025-05 · **Last annual review on file:** 2024-12-05

1. Relationship overview

Core-tier relationship since 2020 (dossier: profile). \$5.8MM term loan at fixed 6.10%, current balance \$5.3MM (loan_performance:2025-05). 640 employees, ~\$41.5MM annual revenue, HQ Tennessee (dossier: profile). Primary contact is CFO Nina Castillo. No prior relationship memo on file (dossier: has_relationship_memo = false).

2. Performance trend (17 months, 2024-01 → 2025-05)

- Revenue is seasonal: holiday peak of \$5.8MM in Dec-2024, post-holiday trough of \$2.1MM in Feb-2025; May-2025 at \$3.0MM (loan_performance).
- EBITDA margin ranged 7.0%–14.0% across the period; 8.0% in May-2025 (loan_performance:2025-05).
- DSCR (TTM) rose to a peak of 1.21x in Dec-2024, then declined each month to 1.12x in May-2025 (loan_performance:2024-12 → 2025-05).
- Leverage held in a 3.5x–4.0x band; 3.6x in May-2025. Revolver utilization 0% throughout; 0 days past due throughout (loan_performance).

3. Covenant status (factual)

- Deterministic test as of 2025-05: DSCR 1.12x vs 1.10x minimum — cushion 0.02x, no breach; leverage 3.6x vs 5.0x maximum — headroom 1.4x, no breach (check_covenant_compliance).
- Reported covenant status "Compliant" matches the computed status (check_covenant_compliance: status_matches_computed = true).
- Next covenant package due 2025-07-31 (dossier: profile).

4. Factual trend signals (no judgment)

- DSCR declined 1.21x → 1.12x over the most recent six months; the 1.12x reading is 0.02x above the 1.10x floor — a thin cushion (detect_deterioration_signals).
- The reported status read "Compliant" through six months of DSCR decline — the label lagged the trajectory (detect_deterioration_signals: status_vs_trend).
- Lifecycle: operating; revolver 0% (detect_deterioration_signals).

5. Engagement summary

Ten logged contacts over the period (get_activity_log). Quarterly covenant packages received on cadence (Q1/Q2/Q3 2024, annual package Dec-2024, Q1 2025). Notable substantive calls: 2024-12-10 annual package review (DSCR 1.21x, "two locations still underperforming but offset by strong flagship stores"); 2025-05-15 relationship call — "Spring softer than expected. Location 3 lease renewal at risk — landlord wants 18% rent increase. DSCR at 1.12x — above minimum but thinner than I'd like going into summer. She seems more stressed than usual." Several entries are flagged low notes-quality (get_activity_log).

6. Open items

- Location 3 lease renewal unresolved; landlord seeking an 18% rent increase (loan_performance:2025-05 notes; activity_log:2025-05-15).

- Q2 2025 covenant package due 2025-07-31 (dossier: profile).

7. RM assessment — Marcus Webb (verbatim)

> "Coverage has thinned to 1.12x, just above the 1.10x floor, but I read this as seasonal softness in the retail book plus known margin pressure at the two weaker locations — not a structural decline. The business still covers its debt service and leverage at 3.6x leaves real cushion. My real concern is commercial, not credit: the Location 3 lease renewal at an 18% bump could put that unit underwater, and Castillo has sounded more stressed than usual on the last couple of calls. I want eyes on the Q2 package and the Location 3 outcome before I move my view. Net: still performing, but watch closely."

Outlook (RM): Watch / monitor.

8. Next steps (RM-directed)

- 1 Resolve the Location 3 lease; model the downside at +18% rent.
- 2 Covenant check-in before the July (Q2) package.
- 3 In-person visit with Castillo this quarter.

This memo assembles facts and presents the RM's own assessment; the credit judgment is the RM's (§4.2). For RM review before the credit file (§4.3).

Reliability: Partial · 4 low-confidence input(s) (Requires RM review before client/credit-file use — §4.3)